Random replacement: memory capacity and the number of sellers
Exact integer capacities C = 1, ..., 8
p₀ = 0.1
p₀ = 0.3
Product 2 (% of own sales)
100%
80%
60%
40%
20%
0%
1
2
3
4
5
6
7
8
Memory capacity C (integer observations)
N = 1 (monopoly)
N = 2 (marginal OE)
N = 3 (marginal OE)
N = 4 (marginal OE)
N = 5 (marginal OE)